Nov 2026 attempt

Ind AS 110 — Consolidated FS

Follows ICAI SM Chapter 13: Unit 1 Introduction · Unit 2 Definitions · Unit 3 Ind AS 110 (control, investment entities) · Unit 4 Consolidation procedure. Illustration numbers as printed in the current SM.

① Unit 1 — Introduction

→ ***Consolidated FS*** *present the financial position of the* ***entire group*** *(parent + group companies);* ***separate FS*** *present a single entity.*

→ *Stakeholders (investors, promoters, lenders, government) prefer consolidated FS — a complete view of the group controlled by the parent. Groups restructure into many companies (tax, efficiency), so consolidated FS are imperative.*

Ind AS	What it covers in this chapter
Ind AS 110	*Criteria for control → subsidiaries; consolidation procedures — eliminating inter-company transactions, NCI, loss of control (Units 3 and 4)*
Ind AS 111	*Whether an arrangement is a joint arrangement; joint operation vs joint venture (Unit 5)*
Ind AS 28	*Significant influence → associate; equity method for associates and JVs (Unit 6)*
Ind AS 27	*Investments in subsidiaries, associates and JVs in* ***separate FS*** *(Units 7-8)*
Ind AS 112	*Disclosures of interests in other entities (Unit 8)*

SM decision chart

Control? *Yes → consolidate as subsidiary (Ind AS 110). No →* ***Joint control?*** *Yes → type of joint arrangement:* ***joint operation*** *→ account for own assets, liabilities, revenue, expenses (Ind AS 111);* ***joint venture*** *→ equity method (Ind AS 28/111). No →* ***Significant influence?*** *Yes → equity method (Ind AS 28). No →* ***financial asset*** *(Ind AS 109; disclosures Ind AS 107). Disclosures for all under Ind AS 112.*

② Unit 2 — Important definitions

Associate	*An entity over which the investor has* ***significant influence****.*
Consolidated FS	*FS of a group in which assets, liabilities, equity, income, expenses and cash flows of the parent and subsidiaries are presented* ***as those of a single economic entity****.*
Control over an investee	*The investor is* ***exposed, or has rights, to variable returns*** *from its involvement and has the* ***ability to affect those returns through its power*** *over the investee.*
Group	*A parent and its subsidiaries.*
Joint arrangement	*An arrangement of which two or more parties have* ***joint control****.*
Joint control	*Contractually agreed sharing of control, existing only when decisions about relevant activities require the* ***unanimous consent*** *of the parties sharing control.*
Joint operation	*Parties with joint control have* ***rights to the assets and obligations for the liabilities****.*
Joint venture	*Parties with joint control have* ***rights to the net assets****.*
Non-controlling interest	*Equity in a subsidiary* ***not attributable, directly or indirectly, to a parent****.*
Parent	*An entity that controls one or more entities.*
Power	***Existing rights*** *that give the* ***current ability*** *to direct the* ***relevant activities****.*
Separate FS	*Presented by a parent, or an investor with joint control or significant influence, in which investments are at* ***cost or under Ind AS 109****.*
Significant influence	*Power to* ***participate*** *in financial and operating policy decisions —* ***not control or joint control****.*
Subsidiary	*An entity controlled by another entity.*

③ Unit 3 — 3.1 Objective of Ind AS 110

→ A parent that controls one or more subsidiaries **prepares consolidated FS**.

→ How to apply **control evaluation** to decide whether to consolidate an investee.

→ Accounting requirements for consolidated FS (Unit 4).

→ Definition of an **investment entity** and its consolidation exemption.

→ Ind AS 110 does **not** deal with business combinations and goodwill — that's Ind AS 103.

④ 3.2 Scope — exemption and exceptions 4

Exemption — a parent need not present CFS if ALL are met (para 4(a))

1. it is a **wholly owned or partly owned subsidiary** of another entity and **all its owners are informed and do not object**;
2. its debt or equity instruments are **not traded in a public market** (domestic or foreign stock exchange, or OTC market incl. local and regional markets);
3. it has **not filed, nor is in the process of filing**, its FS with a securities commission or other regulator **to issue any class of instruments in a public market**;
4. its **ultimate or any intermediate parent** produces FS **available for public use** that **comply with Ind AS**, in which subsidiaries are consolidated or measured at FVTPL under Ind AS 110.

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Illustration 1: X (listed, Ind AS CFS) → A → B, C (all 100%); A unlisted; X doesn't object. **(A)** A is **exempt**. **(B)** X is foreign, CFS under its own GAAP → **not exempt** (parent's FS not Ind AS). **(C)** A is held 100% by **Mr. X, an individual** → no Ind AS FS for public use → **not exempt**.

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Illustration 2: A (listed) → B 100%; A → C 60%; C → X 100%. **(A)** other 40% of C held by outsiders → C must **inform them**; exempt only if they don't object. **(B)** the 40% held by B (A's 100% subsidiary) → C is effectively **100% held by A** → no need to inform B; **exempt**.

→ **Exception 1:** Ind AS 110 does not apply to **post-employment benefit plans or other long-term employee benefit plans** under Ind AS 19 → don't consolidate them. **Example 1:** employee gratuity trust → **not** assessed for control, not consolidated.

→ **Exception 2:** an **investment entity** required to measure all its subsidiaries at FVTPL need not present CFS (§3.7).

→ **Note:** Indian GAAP exclusions — control intended to be **temporary**; subsidiary under **severe long-term restrictions** — **no longer apply** under Ind AS.

⑤ 3.3 Control evaluation 6-9 · B2

> An investor controls an investee **if and only if** it has all three: **(1) power over the investee** · **(2) exposure, or rights, to variable returns from the investee** · **(3) ability to use its power over the investee to affect the investor's returns**.

→ After the initial assessment, **reassess** when there are changes to one or more of the three elements.

→ The investor may need to act in co-operation with another entity, or **no single investor** may control → account under Ind AS 111 (joint arrangement), Ind AS 28 (associate) or Ind AS 109 (financial instrument).

⑥ 3.3.1 Power 10-14 · B9-B54

An investor has power if it has: **A. existing rights** that give it **B. the current ability C. to direct the relevant activities** of the investee. (SM explains in reverse: relevant activities → current ability → rights.)

How to identify relevant activities and how decisions about them are made

- → **Relevant activities** = activities of the investee that **significantly affect the investee's returns**. Examples (not limited to): **selling and purchasing** of goods and services · **managing financial assets** during their life (incl. upon default) · **selecting, acquiring or disposing** of assets · **researching and developing** new products or processes · **determining a funding structure** or obtaining funding · establishing **operating and capital decisions incl. budgets** · **appointing, terminating and remunerating KMP** or service providers.
- → Power to direct relevant activities can be **shared** by multiple parties without meeting the definition of joint control.
- → Activities **before and after** a particular event may both be relevant; where investors can direct activities at **different times**, decide who directs the activities that **most significantly affect returns** (same as concurrent rights); reconsider if facts change.
- → Two or more investors can each **unilaterally direct different** relevant activities → the one directing the activities that **most significantly affect returns** has power.

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Example 2: five parties own 20% each, one board seat each; all strategic decisions need consent of **any four of five** → **not joint control** (no unanimity required), but power is **shared** and **no single party controls**.

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Illustration 3: C Ltd. builds and operates a toll road; A constructs (2 years, recovers cost + fixed margin, first call on toll cash); B then runs operations, maintenance, and takes residual cash as management fee; B sets the tolls → A is merely a **contractor**; residual risks and rewards are B's → **B controls C from inception**, even during construction.

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Illustration 4: A Ltd. (asset manager, 10% units) takes investment/divestment decisions of Fund X; majority unitholders appoint a committee for day-to-day **administration** → A directs the activities that most significantly affect returns → A has **power** (control still needs returns and link).

Current ability to direct relevant activities

- → The investor can make decisions **at the time they need to be taken**. It need not actively direct.
- → Not limited to acting **today** — steps like calling a meeting don't prevent power, if no other barriers exist.
- → Investees with mostly **predetermined** decisions: decisions arise only on particular events → the ability to make them **if and when they arise** is current ability.
- → Current ability always arises from **rights** (voting, potential voting, rights in other arrangements, or a combination).

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Illustration 5: vehicle funded by a debt investor and equity investors (equity takes first loss); an equity investor with 30% is asset manager and manages the portfolio until defaults use up the equity tranche; then a trustee manages it on the debt investor's instructions → relevant activity = **managing the asset portfolio**; each of the asset manager and the debt investor must judge who directs the activities that **most significantly** affect returns, considering **purpose and design** and their exposure to variability.

3.3.1.1 Rights that give power

Form of right	SM example
Voting rights or potential voting rights	*Holding a majority of equity share capital*
*Rights to **appoint, reassign or remove KMP** who can direct relevant activities*	*Right to appoint a majority of the board that decides relevant activities*
*Rights to **appoint or remove another entity** that directs relevant activities*	*Right to appoint/remove the asset manager of a venture capital fund*
*Rights to **direct the investee into, or veto changes to, transactions for the investor's benefit***	*Right to make the investee sell all its output to the investor's group company at a price set by the investor*
***Other rights** (e.g. decision-making rights in a **management contract**)*	*Rights over relevant activities given to one investor by all others through a **shareholders' agreement***

*Where the investee has many relevant activities needing continuous decisions, it is usually **voting or similar rights** that give power.*

3.3.1.1A Substantive rights vs protective rights

Substantive rights	Protective rights
***Can** give the investor power*	*Do **not** give power*
*Relate to the **relevant activities***	*Protect the holder's interest **without** giving rights over relevant activities*

I. Substantive rights — holder must have the practical ability to exercise them

Judgement on all facts. Factors (not exhaustive):

a. ***Barriers** that prevent exercise: **financial penalties and incentives** · **high exercise or conversion price** · terms that make exercise unlikely (e.g. **narrowly limited timing**) · **no explicit, reasonable mechanism** in founding documents or law · holder **can't obtain the information** needed · **operational barriers or incentives** (e.g. no other manager willing or able to provide specialised services and take over the existing manager's interests) · **legal or regulatory requirements** (e.g. foreign investor prohibited from exercising).*

b. *Where exercise needs **more than one party** or rights are held by many: is there a **mechanism** giving them the practical ability to act **collectively**? No mechanism → probably not substantive. An **independent board** can be such a mechanism.*

c. *Would the holders **benefit** from exercising? Potential voting rights are more likely substantive when the exercise price is **below market** or there are **synergies**.*

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***Illustration 5 (SM numbering) — voting rights:** A holds 10%; nine others 10% each gave A decision rights for 5 years via a management agreement. **(A)** the 90% want to terminate after 2 years but a **huge penalty** is payable → barrier → **not substantive**. **(B)** no penalty, but only 4 holders (40%) dispute; removal needs a majority → **not substantive**.*

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***Illustration 6 — potential voting rights:** investor holds 30% with an option for 30% more. **(A)** exercise price far above market (loss-making company) → **not substantive**. **(B)** price at market, but exercisable only within **1 month** and the investor can't arrange funds → **not substantive**. **(C)** market price **unknowable** (new, unique business) → can't judge benefit → **not substantive**.*

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***Illustration 7 — removal rights:** other investors can remove the VC fund's asset manager, but **no other manager** is willing/able to provide the specialised services and buy its stake → **not substantive**.*

→ To be substantive, a right should be exercisable **when decisions need to be made** — usually currently exercisable, but **not always**.

→ **Example 3:** investor holds 30% + option for 40% more exercisable within **25 days**; next shareholders' meeting on relevant activities is in **30 days** → can reach 70% in time → **substantive**.

→ Evidence that the investor **has been directing** relevant activities helps but is **not conclusive**.

→ Consider **substantive rights held by others** — rights to approve or block decisions can prevent the investor from deciding. **Example 4:** 5 investors; any 2 can call a meeting, but every decision needs **unanimous** consent → each investor's consent is needed.

2. Protective rights

→ Designed to **protect the holder's interest** without giving power. Mainly relate to **fundamental changes** or apply in **exceptional circumstances** (but not every exceptional/contingent right is protective). They neither give power nor prevent another party from having power.

→ Examples: right exercisable only on **fraud or default** by the investors who have power · a **lender's right to appoint a nominee director** to ensure the borrower avoids activities that increase credit risk (*protective only so long as it doesn't give **majority control of the board**) · **minority shareholders' right to approve capex beyond the normal course**, or issue of equity or debt · a **lender's right to seize assets** on default · rights to approve/block **change of name**, amendment of constitutional documents to enter a new business, change of registered office.

Investor's rights	Other parties' rights	Conclusion on power
Substantive	Protective	**Investor has power**
Protective	Substantive	Other parties have power
Substantive	Substantive	Further evaluation needed

Franchises

→ Franchisor's rights usually **protect the brand**. Features indicating protective rights: they don't give the franchisor ability to direct the franchisee's relevant activities · **other parties** have current ability to direct them · they don't affect others' rights to decide · the **franchisee operates the business for its own account**.

→ Legal form and **funding structure** may be decided by others and significantly affect returns. The **lower the franchisor's financial support** and exposure to variability, the more likely its rights are only protective.

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Illustration 8: PQR (franchisee of ABC's Brand X) funds the outlet itself, decides capital structure, hires staff, fixes pay, selects vendors; ABC sets interiors, uniforms and other guidelines to protect the brand → ABC's rights are **protective**; PQR directs the relevant activities.

3.3.1.3 Voting rights

Generally power comes through voting rights. But even a **majority** may not give power if (i) the voting rights are **not substantive**, or (ii) **another entity** (not the investor's agent) has existing rights to direct the relevant activities. Other rights may still give power.

3.3.1.3.1 Power through voting rights

A. With a majority — power where (a) relevant activities are directed by a **vote of the majority holder**, **or** (b) a **majority of the governing body** that directs relevant activities is **appointed by the majority holder** (e.g. board appointed by the majority shareholder).

B. Without a majority — through: (1) **contractual arrangement with other vote holders** (investor directs how they vote) · (2) **rights from other contractual arrangements** (decision rights over, e.g., manufacturing or financing, combined with votes) — **economic dependence alone** (e.g. supplier and its main customer) does **not** give power · (3) **the investor's own voting rights — de facto control** · (4) **potential voting rights** · (5) a **combination**.

De facto control — sufficiency of votes	Higher	Lower
Number of voting rights held by investor	**More likely power**	Less likely
Size of investor's votes relative to other holders	**More likely power**	Less likely
Number of parties needed to outvote the investor	**More likely power**	Less likely

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Illustration 9: 45%; thousands of others ≤1% each; no arrangements → **more likely power** — can conclude on size alone without other evidence. **Illustration 10:** 40%; six others at 10% each → **less likely**; size alone is not conclusive — consider additional facts.

→ Also consider potential voting rights and other contractual arrangements. If the investor holds sufficiently more votes and others are **widely dispersed**, the three factors may be enough.

→ If still unclear → consider additional facts, e.g. **voting patterns at previous meetings**. If still **not clear** that the investor has power → it **does not control**.

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Illustration 11: 35%; three others hold 5% each; rest ≤1% each; decisions by majority of votes cast; **75% of votes** cast at recent meetings → active participation means no practical ability to direct unilaterally → **no power**, even if others happened to vote with the investor.

Potential voting rights

→ Rights to obtain voting rights — **convertible instruments, options, forward contracts**. Considered only if **substantive**.

→ Consider the **purpose and design** of the instrument and other benefits from exercise; consider them **together** with the investor's votes and other rights.

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Illustration 12: A and two others hold one-third each; investee's business closely related to A; A also holds debt **convertible at any time** at a fixed price (substantive) → 60% on conversion; synergies → **A has power**.

3.3.1.3.2 Power other than through voting rights

When voting rights **can't significantly affect returns** (e.g. votes relate to **administrative tasks only**), consider: **(1) purpose and design** of the investee · **(2) contractual arrangements** · **(3) special relationship** between investor and investee.

(1) Purpose and design

→ Helps identify: the **relevant activities**, **how decisions** about them are made, **who has current ability** to direct them, and **who receives the returns**.

→ Consider the investor's involvement and decisions at **design** stage. Involvement in design **alone is not sufficient** for control, but may show the investor had the **opportunity to obtain rights** sufficient for power.

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Illustration 13: PQR sets up XYZ to build a power plant and distribute electricity under a state contract; PQR involved in design; decisions on generation and price are not determined by voting rights → involvement in design **indicates** opportunity to obtain power but is **not sufficient**; consider other facts such as contractual arrangements.

(2) Contractual arrangements

→ Consider **call rights, put rights, liquidation rights** giving explicit or implicit decision rights closely related to relevant activities — even if they operate **outside the legal boundaries** of the investee.

→ Some investees are designed so that activities and returns are **predetermined until particular events occur** → only decisions on those events are relevant activities. The events **need not actually occur**; the right to decide whenever required is enough for power.

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Illustration 14 — rights contingent on future events: investee buys receivables and services them day to day (collect and pass on); on default, the receivable is **automatically put** to an investor under a separate agreement; managing defaulted receivables is the only relevant activity → agreement + founding documents are integral → **investor has power**, though it manages defaulted receivables outside the investee.

→ An explicit or implicit **commitment to ensure the investee operates as designed** increases exposure and the incentive to obtain power — an **indicator** only; doesn't by itself give power or prevent another party from having power.

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Illustration 15: A (pharma) depends entirely on B for packing material (others inferior) → A is committed to ensure B operates as designed → **indicator** of power; consider other facts before concluding control.

(3) Special relationship — for marginal cases (B18–B20)

Ind AS 110 gives guidance on **evidence** of possible power, **indicators** of possible power and **incentives** to obtain power.

Evidence of practical ability to direct unilaterally (B18)	SM example
Investor can **appoint or approve KMP** who direct relevant activities	40% of votes, but right to appoint a majority of the board that decides relevant activities
Investor can **direct the investee into, or veto changes to, significant transactions** for its benefit	A and B 50% each, 2 board members each; A appoints the chairman with a **casting vote** on deadlock
Investor can **dominate the nominations process** for the governing body, or obtaining proxies	X and 4 others each appoint one director of P; 2 of the others are X's related parties whom X can direct → X appoints the majority
Investee's **KMP are related parties** of the investor	Same person is CEO of both
Majority of investee's **governing body are related parties** of the investor	Majority of investee's board are also on the investor's board

Indicators of more than a passive interest (B19) — may indicate power with other rights
Investee's KMP who direct relevant activities are **current or previous employees** of the investor
Investee's operations are **dependent** on the investor: **funding** a significant portion of operations · **guaranteeing** a significant portion of obligations · **critical services, technology, supplies or raw materials** · investor controls **licences or trademarks** critical to operations · **KMP** with specialised knowledge supplied by investor
A significant portion of the investee's activities **involve or are conducted on behalf of** the investor
Investor's exposure to returns is **disproportionately greater** than its voting rights (e.g. more than half the returns, less than half the votes)

→ **B20** — the greater the exposure to variability, the greater the **incentive** to obtain power; large exposure is an **indicator**, not determinative.

→ Weighing B18, B19, B20 with the investor's rights: **greater weight to the evidence in B18**.

7 3.3.2 Exposure, or rights, to variable returns 15-16 · B55-B57

→ **Variable returns** = returns **not fixed** that can vary with the investee's performance — only positive, only negative, or both. The term is "returns", not "benefits".

→ Judge on **substance**, regardless of legal form: **fixed interest on a bond** is variable (default/credit risk); **fixed performance fees** for managing assets are variable (performance risk). A **non-refundable** income not affected by credit risk or performance can be a **fixed** return.

→ Returns include **direct** (mostly financial) and **synergistic** (indirect) returns.

Examples of variable returns
Dividends, other distributions (e.g. **interest** from debt securities) · **changes in the value** of the investment
Remuneration for servicing the investee's assets or liabilities · **fees and exposure to loss** from providing **credit or liquidity support** · **residual interests** on liquidation · **tax benefits** · **access to future liquidity**
Returns **not available to other interest holders** — combining operating functions for economies of scale, cost savings, sourcing scarce products, access to proprietary knowledge, limiting some operations to enhance the investor's other assets

→ Exposure alone is not enough. A **lender** exposed to credit risk through interest doesn't control the borrower if it can't affect those payments.

→ Only one investor can control; **many can share returns** (e.g. NCI).

→ **Reputational risk** — e.g. banks supporting vehicles they sponsored during the financial crisis to protect reputation, with no legal or contractual obligation. Reputational risk **in isolation is not a basis for consolidation**; it is a factor (part of exposure, from non-contractual sources) that may increase the incentive to secure power, not an indicator of power in its own right.

8 3.3.3 Link between power and returns 17-18 · B58-B72

→ Control needs the **ability to use power to affect the investor's returns**. A decision maker must decide whether it is a **principal or an agent**, and whether another decision maker is acting as **its** agent.

→ **Agent** — a party primarily engaged to act on behalf and for the benefit of another (the principal). An agent **does not control** when exercising delegated rights. Rights delegated to the investor's agent are treated as **held by the investor**.

→ Consider the overall relationship and **all four factors**, with weights depending on facts: (1) **scope of decision-making authority** · (2) **rights held by other parties** · (3) **remuneration** · (4) **exposure to variable returns from other interests**.

Factor	SM guidance
Scope of authority	(a) activities permitted by the agreement and law; (b) **discretion** over them. Consider purpose and design, risks designed to be passed on, and the decision maker's **involvement in design** — significant involvement may show opportunity and incentive to obtain power.
Rights held by others — removal rights	**Single party** holds substantive removal rights and can remove **without cause** → **in isolation sufficient: agent**. **More than one party** needed → not conclusive alone. The **more parties** needed and the **bigger** the decision maker's other economic interests, the **less weight** on removal rights.
Other substantive rights	Rights that restrict discretion are treated like removal rights; a decision maker needing approval from a **small number** of parties is generally an **agent**. Include rights of the investee's **board** — a board appointed by other investors that can remove the decision maker **without cause** → **agent**.
Remuneration	Higher magnitude and variability vs expected returns → **principal**; lower → agent (e.g. 1% change in investee returns moves remuneration by less than 1% → may be agent; more than 1% → may be principal). **Both** conditions needed to be an agent: remuneration **commensurate with services and** only **customary, arm's length terms**. If either fails → **not an agent**; if both met → more likely agent, still consider other facts.
Exposure from other interests	Investments in the investee or performance guarantees → may be **principal**. Consider remuneration and other interests **in aggregate** (so remuneration is considered again here). Is its exposure **different** from other investors' (e.g. **subordinated** interest, **credit enhancement**) and might that influence its actions? Evaluate relative to total variability, mainly on expected returns but not ignoring **maximum exposure**.

Illus.	Scope	Removal rights	Remuneration	Other interest	Conclusion
16	Narrowly defined mandate (regulated public fund)	None (only redemption within limits); no independent board	1% of NAV, commensurate	10% pro rata; no obligation beyond it	**Agent — no control**
17(A)	Extensive discretion, must act in best interests of all investors	Simple majority, **only for breach of contract** → protective	1% of AUM + 20% of profits above a level, commensurate	2%	**Agent**
17(B)		Same (protective)		More substantial (e.g. 20%)	**Principal — controls (judgement)**
17(C)		Independent board appointed by investors **reappoints annually**; other managers available → **substantive**		20%	**Agent — removal rights get more weight**
18	Within prospectus parameters (ABS portfolio)	Without cause by simple majority of **widely dispersed** investors → little weight	1% AUM + 10% of profits above a level	**35% of equity**, first-loss, subordinated	**Principal — controls**

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Illustration 19 (sponsor): fund issues short-term debt, buys highly rated medium-term assets; transferors service assets and give first-loss over-collateralisation; sponsor sets fund terms, approves sellers and assets, decides funding, gets a market fee, takes **residual return**, gives **credit enhancement** (losses up to 5% after transferors) and **liquidity facilities**; investors have no substantive rights → exposure **different** from others → **principal** → **controls**. Duty to act in investors' best interest doesn't prevent being principal.

9 3.4 Relationship with other parties — de facto agents B73–B75

→ Consider whether other parties act on the investor's behalf — **de facto agents**. Judgement on the relationship and how the parties interact. **No contract needed**.

→ A party is a de facto agent when the investor (or those directing the investor) can **direct it to act on the investor's behalf**. Combine its decision rights and the investor's indirect exposure through it **with the investor's own**, as if held directly. Having a de facto agent doesn't automatically mean control.

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Example 5: investor 30% + fellow subsidiary 30% that the investor can direct → de facto agent → 60% → **control**. If the fellow subsidiary held only 10% → 40% → not control on that basis.

Possible de facto agents: investor's **related parties** · a party that got its interest as a **contribution or loan from the investor** · a party that agreed **not to sell, transfer or encumber** its interest without the investor's prior approval (unless both have mutual approval rights on agreed terms) · a party that **can't finance operations without subordinated support** from the investor · an investee whose **board majority is the same** as the investor's · a party with a **close business relationship** (e.g. professional service provider and a significant client). These are not automatically de facto agents — evaluate each.

10 3.5 Control of specified assets — silos B76–B79

→ A portion of an investee is a **deemed separate entity (silo)** if and only if: **specified assets** (and related credit enhancements) are the **only source of payment** for specified liabilities or other interests; parties other than those with the specified liability have **no rights or obligations** on the specified assets or their residual cash flows; in substance **none** of the returns from the specified assets can be used by the remaining investee and none of the silo's liabilities are payable from the remaining investee's assets — i.e. everything is **ring-fenced**.

→ Example: mutual fund with sub-funds (debt-oriented, equity-oriented) — check whether each sub-fund is a silo.

→ If a silo exists, assess control of the **silo** (power, returns, link). The investor that controls it **consolidates** it; other parties **exclude** that silo when assessing control of, and consolidating, the investee.

11 3.6 Continuous assessment 8 · B80–B85

Reassess when	SM example
Change in **how power can be exercised**	Relevant activities no longer directed through voting rights but through contracts giving another party power
An **event** causes gain or loss of power **without the investor's involvement**	Decision rights of another party that prevented control **lapse**
Changes in **exposure or rights to variable returns**	Contract to receive performance-related fees **terminated** → may lose control
Change in **agent/principal** status	Changes in rights of investor or others → reconsider

A change in **market conditions** alone (e.g. investee's returns change) does **not** change the assessment, unless it changes one of the three elements or the principal–agent relationship.

12 3.7 Investment entities 27–33 · B85A–B85W

3.7.1 Definition — ALL three conditions

1. ***Obtains funds*** *from one or more investors for providing those investors with* ***investment management services***;
2. ***Commits to its investors*** *that its business purpose is to invest funds* ***solely for returns from capital appreciation, investment income, or both***;
3. ***Measures and evaluates*** *the performance of* ***substantially all*** *its investments on a* ***fair value basis***.

Typical characteristics: *more than one investment · more than one investor · investors* ***not related parties*** *· ownership interests in the form of* ***equity or similar***. *Absence of one or more* ***doesn't disqualify*** *— needs more judgement.* ***Reassess*** *if any element or characteristic changes.*

Element	SM detail
3.7.1.1 Business purpose	Evidence: **offering memorandum**, publications, partnership documents, how it presents itself to investors/investees (e.g. "medium-term investment for capital appreciation"). Presenting itself as aiming to **jointly develop, produce or market products** with investees is **inconsistent**. May provide **investment-related services** (advisory, management, support, admin) to third parties and investors, even if substantial. May give investees **management services/strategic advice** and **financial support** (loan, capital commitment, guarantee) **only** to maximise investment returns and if not a **separate substantial business** or **separate substantial source of income**.
3.7.1.2 Exit strategies	Doesn't hold investments indefinitely. Needs a documented exit strategy for substantially all **equity** and **non-financial asset** investments, and for debt that could be held indefinitely (**perpetual debt**). Not one per investment — strategies per type/portfolio with a **substantive time frame**. Exit only on **default** events (breach, non-performance) is **not** an exit strategy. Examples: private equity — IPO, private placement, trade sale, distributions of interests to investors, sale of assets then liquidation; listed equity — sale in private placement or market; real estate — sale via dealers or open market. Investment in another investment entity formed for legal/tax reasons → no exit strategy needed if **that** entity has them.
3.7.1.3 Earnings from investments	**Not** an investment entity if it or another **group member** obtains (or aims to obtain) **other benefits** not available to unrelated parties: acquisition, use, exchange or exploitation of an investee's processes, assets or technology (incl. **disproportionate or exclusive rights** to acquire them) · joint arrangements/agreements with an investee to develop, produce, market or provide products · **financial guarantees or assets** from an investee for borrowings of the entity or group (but it may use an investment as **collateral**) · an **option held by a related party** to buy an ownership interest in an investee · transactions with an investee that are on terms unavailable to unrelated parties, **not at fair value**, or a **substantial portion** of the investee's or group's business. Investing in several investees in the same industry for synergies is allowed; investees **trading with each other** doesn't disqualify.
3.7.1.4 Fair value measurement	Must (a) give investors FV information and measure substantially all investments at FV wherever Ind AS requires or permits, **and** (b) report FV internally to **KMP**, who use it as the **primary measure** for performance and investment decisions. So it would elect the **Ind AS 28 exemption** from the equity method and measure financial assets at FV under Ind AS 109. **Non-investment assets** (head office, equipment) and **liabilities** need not be at FV.
3.7.1.5 More than one investment	Typical (directly, or via one investment in another investment entity). A **single investment** is OK when: in **start-up** period; not yet replaced disposed investments; set up to pool funds for an investment **unobtainable individually** (minimum too high); in **liquidation**.
3.7.1.6 More than one investor	Pooling reduces chance of other benefits. Can be formed by or for a **single investor representing a wider group** (pension fund, government investment fund, family trust). Temporarily a single investor: within **initial offering period**; not yet replaced redeemed investors; in **liquidation**.
3.7.1.7 Unrelated investors	Typical, but related investors don't disqualify — e.g. a **parallel fund** for employees/KMP that mirrors the main fund may still qualify.
3.7.1.8 Ownership interests	Typically (not necessarily) a separate legal entity, with equity or similar interests (partnership interests) giving proportionate shares of net assets. **Different classes** of investors, with rights to specific investments or different shares, don't preclude it. **Example 6:** class A gets 10% of profits first, then A and B share proportionately → still OK. Significant ownership in the form of **debt** (not equity under Ind AS 32) can still qualify if holders are exposed to variable returns from changes in FV of net assets. **Example 7:** compulsorily convertible bonds into a variable number of shares (financial liability) → exposure to variable returns → OK.

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Illustration 20 — business purpose: fund raises units from many investors, invests in equity for capital appreciation, holds ≤ 5 years, uses FV; also gives investees **strategic advice and loans** to boost appreciation → elements 1 and 3 met; typical characteristics present; treat as investment entity **only if** the services and support are not a substantial business activity or substantial separate income.

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Illustration 21 — exit strategies: exit strategies for equity shares; none for idle funds put into **fixed-maturity** debt → debt can't be held indefinitely → no exit strategy needed → condition **met**.

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Illustration 22 — earnings: PQR invests in pharma R&D companies; fellow subsidiary DEF has contracts to get successful patents and distribution rights **below market price** → group obtains other benefits → PQR is **not** an investment entity.

3.7.2 Exemptions to investment entities

- → An investment entity **does not consolidate** its subsidiaries or apply Ind AS 103 when it obtains control; it measures investments in subsidiaries at **FVTPL** under Ind AS 109.
- → **Exception:** a subsidiary that is **not itself an investment entity** and whose main purpose is providing **services related to the investment entity's investment activities** → **consolidate** it (and apply Ind AS 103 on acquiring it). If that service subsidiary is itself an investment entity → FVTPL.
- → A **parent of an investment entity** consolidates **all** entities it controls, including those held through the investment entity subsidiary — **unless the parent itself is an investment entity**.

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Illustration 23: T holds 70% of HTF (rest held by 10 unrelated investors); HTF invests in tech start-ups for appreciation; T holds **options to buy HTF's investments at FV** if the technology would benefit T; HTF has **no exit plans** → **not an investment entity**: (a) T's options give a benefit beyond appreciation/income; (b) no exit strategies for equity investments (T's options aren't HTF's exit strategy).

Change of status (Unit 4, Illustrations 35–36): ceases to be an investment entity → subsidiary deemed acquired at FV on that date (goodwill = FV of investment + NCI − net assets); becomes one → stop consolidating, gain/loss as on loss of control.

13 Unit 4 — 4.1 Overview

→ Consolidated FS = consolidated **balance sheet**, **statement of profit and loss**, **statement of changes in equity**, **cash flow statement** and **notes**.

→ Follow **Division II of Schedule III** to the Companies Act 2013 *mutatis mutandis*, plus Ind AS disclosures, plus Ind AS 27 and Ind AS 112 information (Unit 8).

14 4.2 Consolidation procedure

Consolidate from the date the investor **obtains control** until it **loses control**. Key concepts in the SM order: goodwill/capital reserve and NCI on acquisition · step acquisition · control without consideration · uniform policies · measuring the subsidiary's income and expenses · potential voting rights · different reporting periods · dividends and NCI · intra-group eliminations and unrealised profit · NCI share and changes in ownership · preparing CFS · chain holding · loss of control (4.3).

4.2.1 Goodwill / capital reserve and NCI on acquisition

Goodwill = (a) [consideration (FV) + NCI (Ind AS 103) + FV of previously held interest] − (b) identifiable net assets (FV, except common control)

→ **Capital reserve** (bargain purchase, extremely rare): (b) > (a) after the para 36 reassessment → gain in **OCI**, accumulated in equity as **capital reserve**, attributed to the acquirer; in all other cases → **directly in equity** as capital reserve.

→ **NCI** (present ownership interests) at (a) **fair value** or (b) **proportionate share** of recognised identifiable net assets.

→ **4 steps:** (1) FV of consideration → (2) NCI → (3) FV of identifiable net assets → (4) goodwill / capital reserve.

Illus.	Facts	FV method	Proportionate method
1	80% for ₹120 cr; NCI FV 30; net assets 130	120 + 30 − 130 = **20** (Dr NA 130, GW 20; Cr Cash 120, NCI 30)	NCI 26 → **16**
2	60% for ₹750 lakh (incl. control premium); NCI FV 480; net assets 1,000	750 + 480 − 1,000 = **230**	NCI 400 → **150**
3	80% for ₹400 lakh; NCI FV 100; net assets 520	Bargain **(20)** (Cr gain 20)	NCI 104 → bargain **(16)**
4	100% for ₹100 lakh; net assets 80	No NCI → goodwill **20**	

4.2.2 Step acquisition

→ **Example 1:** A holds 25% of B; buys 40% more on 1 Apr 20X1 → control → step acquisition.

→ Remeasure the previously held interest at acquisition-date FV; gain/loss in **P&L or OCI** as appropriate. Rationale: moving from a non-controlling investment to control is a **significant change in nature and economic circumstances** — the acquirer derecognises an investment asset and starts reporting underlying assets, liabilities and results → gain/loss at acquisition date.

→ Earlier OCI on an **FVOCI** equity interest is **never reclassified to P&L** but **may be transferred to retained earnings** on this "deemed disposal" — same as an actual disposal.

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Illustration 5: RS holds 30% of PQ (associate, carrying ₹100 lakh); buys remaining 70% for ₹700 lakh; FV of 30% = 300; net assets 800 → goodwill 700 + 300 − 800 = **200**; gain 300 − 100 = **200 to P&L**. Entry: Dr NA 800, Goodwill 200 · Cr Cash 700, Investment in associate 100, Gain 200.

4.2.3 Control without transfer of consideration

→ (a) acquiree **buys back its own shares**; (b) **minority veto rights lapse**; (c) combination **by contract alone** (stapling, dual listed corporation).

→ In the goodwill formula, "FV of consideration transferred" is replaced by the **acquisition-date FV of the acquirer's interest** in the acquiree — remeasure the existing interest (gain/loss in P&L or OCI) and use it.

→ By contract alone: the acquiree's net assets are attributed to its owners as **NCI**, even if that means **100% NCI**. **Example 2:** A controls B by contract, holds no stake → **100% of B's net assets to NCI**.

4.2.4 Uniform accounting policies B7 · B87

→ Use uniform policies for **like transactions and events in similar circumstances**; adjust a group member's FS that use different policies.

→ **Example 3:** US subsidiary under US GAAP → convert to **Ind AS** for consolidation.

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Illustration 6: subsidiary uses SLM, parent WDV for PPE. Depreciation **method** is an **accounting estimate** (Ind AS 16.60–61, change → Ind AS 8 estimate), not a policy → choose what reflects the pattern of consumption → **no adjustment**; subsidiary keeps SLM, parent WDV, if that reflects their patterns.

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Illustration 7: H uses FIFO; subsidiary S and associate A use weighted average; different lines of business. Cost formula **is** an accounting policy (Ind AS 2.36(a)), but Ind AS 2.25–26 allow different formulas for inventories of **different nature or use** (not merely different location or tax rules) → if nature/use differs, **no adjustment** needed.

4.2.5 Measurement of the subsidiary's income and expenses B88

→ Include from the date control is gained until it ceases.

→ Income and expenses are based on the amounts of assets and liabilities recognised in the CFS **at the acquisition date**. **Example 4:** PPE FV ₹100 lakh (book ₹80 lakh) → depreciation in CFS on **₹100 lakh**.

4.2.6 Potential voting rights held in a subsidiary B89–B91

→ Allocation of profit/loss and equity changes between parent and NCI is based **solely on existing ownership interests**, ignoring possible exercise of potential voting rights; those instruments follow **Ind AS 109**.

→ **Exception:** if a transaction gives the entity, in substance, an **existing ownership interest — present access to the returns** — allocate taking into account the eventual exercise; then Ind AS 109 does not apply to those instruments. E.g. investor holds 60% with an option for 20% more and gets the returns on the underlying shares **even before exercise**.

4.2.7 Reporting period of parent and subsidiary B92–B93

→ Same reporting date. If different (parent 31 Mar 20X1, subsidiary 31 Dec 20X0), the subsidiary prepares **additional financial information** as of the parent's date, unless **impracticable**.

→ If impracticable: use the subsidiary's most recent FS **adjusted for significant transactions or events** up to the CFS date; the gap must be **no more than three months**.

→ Length of periods and the gap must be the **same from period to period**; if the gap is removed, **restate comparatives** for equivalent periods.

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Illustration 8: classify current/non-current by reference to the **group's reporting date**. Subsidiary's year end 31 Dec 20X1; payable due 1 Jan 20X3 (non-current for it); parent's year end 31 Mar 20X2 → due within 9 months → **current** in the CFS.

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Illustration 9: foreign subsidiary breached a covenant before year end; lender agreed after year end (before approval) not to demand repayment. IFRS (IAS 1) → current; **Ind AS 1 para 74** (Indian carve-out) → **non-current** in A Ltd.'s CFS — align to Ind AS.

4.2.8 Dividend from a subsidiary and its impact on NCI

- → **Ind AS 109 para 5.7.1A** — dividend in P&L only when (i) the **right to receive is established**, (ii) it is **probable** the benefits will flow, and (iii) the amount can be **measured reliably**.
- → **Ind AS 27 para 12** — dividend from a subsidiary in separate FS when the right to receive is established. Under the Companies Act 2013 that is when declared by **shareholders in the AGM**.
- → Dividend from a subsidiary, JV or associate is **income** in separate FS. Under **Ind AS 36**, a dividend declaration plus some other evidence is an **indicator of impairment** of the investment.

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Illustration 10: XYZ buys 80% of ABC on 1 Apr 20X1 for ₹1,40,000; ABC's capital 1,00,000 + P&L 60,000; net assets FV 1,50,000; year's profit 20,000; dividend 30,000 declared and paid later (after AGM). XYZ's entry on receipt: **Dr Bank 24,000 · Cr P&L 24,000**. NCI (FV, same per-share price as purchased interest): 1,40,000 × 100/80 = 1,75,000 × 20% = **35,000** → Dr NA 1,50,000, Goodwill **25,000** · Cr Cash 1,40,000, NCI 35,000. NCI on 31 Mar 20X2 = 35,000 + 20% × 20,000 = **39,000** (dividend recognised only on AGM approval).

Illus.	Variation	NCI on 1 Apr	Goodwill	NCI on 31 Mar
11	Proportionate; net assets 1,50,000	30,000	20,000	34,000
12	FV method; net assets 1,60,000	35,000	15,000	39,000
13	Proportionate; net assets 1,60,000	32,000	12,000	36,000

4.2.9 Elimination of intra-group transactions B86(c)

- → Intra-group **balances, transactions and resulting unrealised profits** are eliminated **in full**. Unrealised **losses** are also eliminated **unless cost cannot be recovered**.
- → Set off a liability of one group entity against the asset in the other; exclude intra-group sales from turnover and from purchases (or the relevant expense).
- → If the buyer has **sold the goods outside** the group → only eliminate sales and cost of sales; no profit adjustment. If still **on hand** → eliminate the intra-group profit; assets at **cost to the group**.
- → Applies to inventories, **PPE, intangibles and investment property**, and to **all** consolidated subsidiaries, even those less than 100% owned.
- → **4.2.9.1 Inventories** — profit on goods still held by the buyer isn't earned until sold outside the group → eliminate from group profit; inventory at cost to group.
- → **4.2.9.2 Non-current assets** — unrealised profit on intra-group transfers of PPE, intangibles, investment property also eliminated.
- → **4.2.9.3 Unrealised losses** — eliminated unless cost cannot be recovered (i.e. a real impairment).

Illus.	Facts	ICAI treatment
14 (upstream)	Parent owns 60%; **subsidiary sells** inventory to parent for 35,000, profit 15,000; still held by parent	Eliminate **100%**: inventory at 20,000; Dr Consolidated revenue 35 · Cr Cost of sales 20 · Cr Inventory 15 (₹'000). Reduction of 15,000 **shared 60% parent : 40% NCI**.
15 (downstream)	Same, but **parent sells** to subsidiary	Same entry; reduction of 15,000 allocated **entirely to the parent**.
16 (downstream + tax)	A sells goods costing 200 to 80% subsidiary B for 240; 50% in B's stock (120); tax 30%	Reduce inventory by **20** → consolidated profit −20; **DTA 6** (accounting base 100 < tax base 120).
17 (upstream + tax)	Ram buys goods costing 100 from 80% subsidiary Shyam for 120; 50% in stock (60); tax 30%	Reduce inventory by **10** → profit −10; **DTA 3** (base 50 vs tax base 60).
18 (PPE)	A (sells capital equipment) sells equipment costing 100 to 80% subsidiary B for 120; B's PPE; life 10 years	Reduce PPE by 20 and depreciation by **2**; eliminate sales and cost of sales. Dr Revenue 120 · Cr Cost of sales 100 · Cr PPE 18 · Cr Depreciation 2 (₹ lakh).

4.2.10 NCI — allocation and changes in proportion 22 · B94-B96

→ Present NCI in the consolidated balance sheet **within equity, separately** from equity of the parent's owners.

→ **4.2.10.1** Attribute profit or loss and **each component of OCI** to owners and NCI; attribute total comprehensive income to NCI **even if NCI has a deficit balance**.

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Illustration 19: A buys 70% of B on 1.4.20X1 for 10,00,000 (B: capital 10,00,000 + other equity 80,000; FV = book). NCI 30% × 10,80,000 = **3,24,000**; goodwill 10,00,000 + 3,24,000 − 10,80,000 = **2,44,000** (stays the same every year). Losses 2,50,000, 4,00,000, 5,00,000, 1,20,000 then profits 50,000, 1,00,000, 1,50,000 → NCI: 2,49,000 → 1,29,000 → **(21,000)** → **(57,000)** → (42,000) → (12,000) → 33,000. NCI goes **negative** and keeps taking its 30%.

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Illustration 20 (4 cases, proportionate NCI, FV = book): Case 1 (90%, cost 1,40,000, net assets 1,50,000): NCI 15,000 → 17,000; **goodwill 5,000**; holding RE +18,000 (90% × 20,000). Case 2 (85%, cost 1,04,000, net assets 1,30,000): NCI 19,500 → 18,000; **bargain 6,500**; RE −8,500 (85% × −10,000). Case 3 (80%, 56,000, 70,000): NCI 14,000 → 14,000; nil; RE nil. Case 4 (100%, 1,00,000, 90,000): no NCI; **goodwill 10,000**; RE +16,000.

→ **Cumulative preference shares** (equity) held by NCI → compute the parent's share **after deducting their dividend, whether declared or not**. **Example 5:** R holds 80% of Y; Y's 10% cumulative preference ₹10,00,000 held by NCI; profit 5,00,000 → 5,00,000 − 1,00,000 = 4,00,000 × 80% = **3,20,000** to R.

4.2.10.2 Change in proportion — control retained

→ Arises when the parent **buys from NCI** (60% → 70%), **sells to NCI** (70% → 60%), or the subsidiary **issues new shares to NCI** diluting the parent. **Example 6:** M (70% of N) buys or sells 10% → equity transaction.

→ **Equity transaction** (with owners as owners): adjust controlling and NCI carrying amounts; the difference between the NCI adjustment and the FV of consideration paid/received → **directly in equity, attributed to the parent**.

→ **No change** to subsidiary's assets (incl. **goodwill**) and liabilities. **No gain or loss**.

Illus.	Facts	Entry / result
21	P sells 20% of wholly-owned subsidiary for 100; carrying net assets 300 incl. goodwill 65	Dr Cash 100 · Cr NCI 60 (20% × 300) · Cr Other equity **40**
22	A (60%) buys 20% more for 4,000 (B's FV 20,000); NCI carrying 4,000 (40%)	Dr NCI 2,000 (4,000 ÷ 40 × 20) · Dr Other equity **2,000** · Cr Cash 4,000. Note: "FV of entity" sets the price; "FV of net assets" (6,000 then; 12,000 now) is for accounting — later FV of net assets is irrelevant; goodwill 2,400 unchanged
23	A (70%) buys 10% more for 2,600; NCI 6,600 (30%); goodwill 600	Dr NCI 2,200 · Dr Other equity **400** · Cr Cash 2,600 (₹'000); **goodwill not adjusted**
24	A (70%) buys 10% more for 32; NCI 90 (30%)	Dr NCI 30 · Dr Other equity **2** · Cr Cash 32 → group total 1,128; other equity 868; NCI 60; investments 182 in A's books
25	Amla sells 40% of 100% subsidiary (cost 10,00,000) for 9,00,000; carrying net assets 18,00,000 (16,00,000 + goodwill 2,00,000)	Separate FS: 9,00,000 − 4,00,000 = **5,00,000 gain**. CFS: 9,00,000 − 7,20,000 = **1,80,000 to other equity**, no P&L. Gap 3,20,000 = 40% × post-acquisition profit (18,00,000 − 10,00,000) already reported by the group
26	Sells 30% of 100% subsidiary for 500 cr; net assets 1,300 + goodwill 200 (NCI initially FV; later proportionate incl. goodwill)	Dr Cash 500 · Cr NCI 450 (30% × 1,500) · Cr Other equity **50**
27	A (80% of B); B buys 100% of C for cash; goodwill 1,00,000	A's CFS shows **100% of goodwill**, 20% attributed to NCI — NCI of B is a party to the sub-group's transaction

4.2.11 Preparing the consolidated FS

- → **Balance sheet:** combine assets and outside liabilities with intra-group eliminations; eliminate subsidiary's share capital against parent's investment → goodwill/capital reserve and NCI; add parent's share of **post-acquisition** profits to the parent's relevant accounts.
- → **Profit and loss:** add income and expenses line by line; eliminate intra-group transactions in full (e.g. parent's sales to subsidiary removed from both sales and purchases).
- → **Cash flows:** add line by line; eliminate inter-company cash flows.

4.2.12 Chain holding

- → **Chain control** — the parent controls a subsidiary indirectly (P → S1 → S2).
- → **Situation 1 — sub-subsidiary:** P → 80% → S1 → 60% → S2. P owns 80% × 60% = **48%** of S2; NCI in S1 owns 20% × 60% = **12%**; NCI in S2 owns **40%**. S2 is still a sub-subsidiary (control chain), though P owns only 48%.
- → **Date S2 comes under P's control:** (1) the date P acquired S1, if S1 already held S2; or (2) the date S1 acquired S2, if later.
- → The **order** in which the group was built decides which reserves of S2 are pre-acquisition (P bought S1 before or after S1 bought S2).
- → **Situation 2 — direct holding too:** P → 80% S1; S1 → 75% S2; P → 10% S2 directly. Group interest in S2 = 80% × 75% + 10% = **70%**; NCI 30% (direct 15% + indirect 20% × 75% = 15%).

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Illustration 29 (chain, mid-year, NCI at FV): P 80% of S; S 75% of SS; both acquired **30 Sep 20X1**; profits even. Reserves split: S — reserves 80 → 90 at acquisition (post 10); RE 20 → 35 (post 15). SS — reserves 60 → 70 (post 10); RE 30 → 45 (post 15 – unrealised profit on S's inventory from SS at cost + 25%: 10 × 25/125 = 2 → **13**). Effective interest in SS: 80% × 75% = **60%**; NCI 40%.

Capital reserve: S = 340 + NCI 80 (400 × 20%) – (400 + 125) = **105**; SS = 280 × 80% = 224 + NCI 128 (320 × 40%) – (320 + 115) = **83** → total **188**.

NCI: S = 80 + 2 + 3 – 56 (S's investment in SS 280 × 20%) = 29; SS = 128 + 4 + 5.2 = 137.2 → **166.2**. Other equity: reserves 180 + 8 + 6 = **194**; RE 160 + 12 + 7.8 = **179.8**. Bills cancelled: P's 72 vs S's 70 → 2 left; SS 30 vs P's 30. Total **2,208**. (Assumes SS's sale to S was after acquisition.)

(13) 4.3 Loss of control 25-26 · B97-B99

Ways of losing control: **outright sale** of the entire stake · **partial sale** keeping an associate, joint venture or financial asset · **deemed loss of control** with no consideration, when the parent's interest is diluted — **voting rights issued to a new investor**, control over relevant activities moving, other shareholders **consolidating their votes**, an investor buying a **substantial stake on the stock exchange**.

4.3.1 Accounting on loss of control

Derecognise	Recognise	Reclassify	Result
· the subsidiary's assets **(including goodwill)** and liabilities · the carrying amount of any **NCI**	· **FV of consideration** received · any **distribution of shares** to owners · any **investment retained** at its **FV** on the date control is lost (note 1)	· amounts in **OCI** for the subsidiary → to P&L, or directly to retained earnings if other Ind AS require (note 2)	· difference = **gain or loss in P&L**, attributable to the parent

→ **Note 1:** FV of the retained interest = FV on initial recognition of a **financial asset** (Ind AS 109), or the **cost** on initial recognition of an **associate or JV**. **Example 7:** A sells 50% of its 60% in B, keeps 10% (FV ₹1,00,000) → recorded at ₹1,00,000 as Ind AS 109 initial FV; if A still has significant influence (board seat) → ₹1,00,000 is the **cost of the associate**.

→ **Note 2:** treat OCI as if the parent had **disposed of the related assets/liabilities directly**. **Example 8:** X sells all of Y → cumulative **exchange differences** (foreign operation) **reclassified to P&L**; **revaluation surplus** transferred **directly to retained earnings**.

Illus.	Facts	ICAI working
30 deemed disposal	Group 60% (30,000 of 50,000 shares); goodwill 20,000 (partial); minority exercises option for 25,000 new shares at ₹12 (₹3,00,000); net assets before 4,50,000 → group falls to 40%	FV of 40% retained (30,000 × ₹12) 3,60,000 − net assets 4,50,000 + NCI derecognised 1,80,000 − goodwill 20,000 = **gain 70,000** in P&L
31 outright sale	80% bought for 1,60,000 (net assets 1,75,000; goodwill 20,000 partial; impaired 8,000); sold for 2,00,000; net assets at sale 2,25,000 (+ goodwill 12,000)	Separate FS: 2,00,000 − 1,60,000 = **40,000**. CFS: 2,00,000 − (80% × 2,25,000 + 12,000) = **8,000**. (No HFS write-down needed — FV less costs to sell > carrying.)
32 becomes associate	100% bought for 50,00,000 (goodwill 10,00,000); sells 60% for 67,50,000; keeps 40% (FV 45,00,000); net assets 80,00,000	Separate FS: 67.5 − 30 = **37.5 lakh**. CFS: 67.5 + 45 − (80 + 10) = **22.5 lakh** = 13.5 on the 60% sold + **9.0 remeasurement** of the 40% (36 → 45) — **disclose** the remeasurement part
33 keeps 10%	Same, sells 90% for 85,50,000; 10% FV 9,50,000	Separate FS: 85.5 − 45 = **40.5 lakh**. CFS: 85.5 + 9.5 − 90 = **5.0 lakh** (4.5 on sale + 0.5 remeasurement)

4.3.2 Loss of control in two or more arrangements

- → Gain/loss goes to P&L **only when control is lost** — so a disposal could be split to push gains into equity. **Example 9:** sell 80% at once → all to P&L; sell 25% then 55% → first part to equity (control kept), second to P&L.
- → Treat multiple arrangements as **one transaction** if one or more: entered **at the same time or in contemplation** of each other · form a **single transaction for an overall commercial effect** · occurrence of one **depends** on another · one is **not economically justified alone** (e.g. a disposal priced below market compensated by a later one above market).

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Illustration 34: MN (80% of UV) sells 25% for 2,50,000 and 55% for 5,50,000 within a month → single transaction: 8,00,000 − (9,00,000 − 1,80,000) = **gain 80,000** in P&L. If control is lost at transaction 1 → record then; 5,50,000 shown as **consideration receivable**. If lost at transaction 2 → record then; 2,50,000 shown as **advance consideration received**.

16 4.4 Change in investment entity status B100–B101

- → Accounted **prospectively** from the date of change.
- → **4.4.1 Ceases** to be an investment entity → apply **Ind AS 103** to subsidiaries previously at FVTPL; date of change = **deemed acquisition date**; FV of the subsidiary = **deemed consideration**; consolidate all subsidiaries.
- → **4.4.2 Becomes** an investment entity → stop consolidating subsidiaries at that date (except investment-service subsidiaries that aren't investment entities) → apply **loss-of-control** accounting as if control were lost that date.

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Illustration 35: A ceases on 1 Apr 20X1, holding 80% of B at FVTPL 4,00,000; NCI FV 1,00,000; net assets 4,50,000 → goodwill 4,00,000 + 1,00,000 − 4,50,000 = **50,000**. Dr Net assets 4,50,000, Goodwill 50,000 · Cr Investment in B 4,00,000, NCI 1,00,000.

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Illustration 36: CD bought 100% of KL for 20,00,000 (net assets 16,00,000; goodwill 4,00,000); becomes an investment entity when investment's FV is 25,00,000 and KL's net assets 19,00,000 → 25,00,000 − (19,00,000 + 4,00,000) = **gain 2,00,000**.

17 4.5 Significant differences — Ind AS 110 vs AS 21

#	Topic	Ind AS 110	AS 21
1	Preparing CFS	**Mandatory** for a parent (limited exceptions)	Not mandated; if presented, apply AS 21
2	Control	**Principle-based**: power, variable returns, link	**Quantitative**: more than half of voting power, or control of board composition
3	Number of parents	Control can be with **one entity only**	Occasionally **two parents** — both consolidate
4	Exclusion from consolidation	**Not permitted** for temporary control or severe long-term restrictions	Excluded if control temporary or severe long-term restrictions on transferring funds
5	Reporting date gap	Max **3 months**	Max **6 months**
6	Changes in ownership without loss of control	Specific requirements (equity transaction)	No guidance
7	Uniform policies	Required; **no exemption**	Non-uniform allowed if impracticable, with disclosure of fact and proportions
8	Potential voting rights	Substantive PVRs **considered** for control	Not taken into account
9	Deferred tax	Recognised on temporary differences from **eliminations** (Ind AS 12)	Tax = aggregate of separate FS; no deferred tax on eliminated intra-group profits

⑱ Chapter 13 Test Your Knowledge (Unit 8) — consolidation questions, ICAI answers

Q	Facts	ICAI answer
1	X holds 100% of Y; Y issues convertible preference shares to Z giving Z a consent right on all decisions of Y's equity holder	Unanimous consent of X and Z → **joint control**; separate vehicle, no rights to assets/obligations → **joint venture**. X **loses control**: derecognise Y's assets and liabilities; 100% equity retained at **FV**; difference to P&L; then equity method (goodwill/capital reserve vs FV of net assets)
2	M holds 90% of N; N holds 25% of associate O (net assets 300 incl. profit 40)	Investment in O = 300 × 25% = **75**; share of profit 10 → **9** to M (40 × 25% × 90%), **1** to NCI of N
3	AB holds 30% of associate (cost 300; goodwill 30; carrying 360); associate issues shares to others for 800 → AB falls to 20%	Deemed sale of 10%: 20% × 800 = 160 added to investment; carrying of interest sold 360 × 1/3 = 120 (incl. goodwill 10) derecognised → **gain 40** in P&L
4	DEF buys 100% of XYZ on 1 Oct; pre-acquisition dividend paid 1 Nov; FV changes	P&M uplift 5,75,000; extra dep 25,000; acquisition-date profits 32,85,000; **bargain purchase 18,85,000** (capital reserve directly — no clear evidence); RE 7,07,000; total 1,15,37,000
5	Ram buys 60% of Krishan on 1 Oct; dividend 1 Nov; FV changes	Goodwill **1,65,800**; NCI **4,33,600**; other equity **7,30,600**; total **24,73,200** (worked in the appendix)
6–8	Blue Heavens / Orange County (100%, 75%, one year later)	Q6: goodwill **1,300** (6,000 − 4,700); total 15,650. Q7: NCI 25% × 4,700 = **1,175**; goodwill **975**; total 16,825. Q8: inventory uplift 100 → cost of sales; building uplift 300 ÷ 20 = 15; impairment 98 → goodwill **877**; NCI 1,175 + 25% × 435 = **1,284**; other equity **11,228**; total **18,032**
9	P sells 100% of S for 3,000 (S's group carrying net assets 2,560 incl. goodwill 180)	Remove S's lines; cash +3,000 − S's 1,000; **gain 440** → RE 4,700; total **8,100**
10	Reliance sells 90% of Jio for 1,000 (carrying net assets 1,280 incl. goodwill 90)	Loss 1,000 − 1,152 = **(152)**; 10% kept at **128** (carrying share — no FV given; Ind AS 110.25 requires FV when available); RE 1,978; total **3,678**

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Ⓐ Appendix — how to write the consolidation answer

This appendix is my exam method (working-note order, passbook for reserves, adjustment tables, self-checks), not study-material text. Every figure in it is checked against ICAI's own answers.

Ⓐ Every answer = 5 working notes, in this order

WN	What	Formula
1	S's reserves: pre & post	Pre = balance on acq. date · Post = Closing − Pre − adjustments
2	Net assets on acq. date	S's share capital + Pre-acq reserves ± FV changes − S's own goodwill
3	Goodwill / capital reserve	Consideration + NCI + FV of old stake − WN 2
4	NCI at year end	NCI on acq. date + NCI% × Post − NCI% × GW impairment (FV method only)
5	Group other equity	P's reserves + P% × Post ± items P bears alone

Balance sheet line = P + S ± FV change ± intra-group cancellation. **Only P's share capital** appears. Investment in S disappears.

Ⓐ Splitting S's reserves — the passbook

Write S's RE like a **bank passbook**: events in **date order** with a running balance.

1. Profit earned in the year = **Closing − Opening + Dividend paid** (dividend went out, so put it back).
2. Spread it evenly over the months (unless told it's seasonal).
3. Put each dividend on **its date**. The running balance must end at the closing RE ✓.
4. **Pre-acq = balance on acquisition date.** Post-acq = Closing − Pre-acq. Do **each reserve separately**.

SM TYK S — Ram buys 60% of Krishan on 1 Oct; dividend ₹40,000 paid 1 Nov

Earned = 1,64,000 − 60,000 + 40,000 = 1,44,000 → 72,000 per half year.

Date	Event	Change	Balance
1 Apr	Opening		60,000
Apr–Sep	Profit	+72,000	1,32,000
1 Oct	**Ram buys**		**1,32,000 = PRE**
1 Nov	Dividend	−40,000	92,000
Oct–Mar	Profit	+72,000	1,64,000 ✓

Post-acq = 1,64,000 − 1,32,000 = **32,000**. Ram's ₹24,000 dividend: **leave it in Ram's RE**. Check: 24,000 + 60% × 32,000 = 43,200 = 60% × 72,000 ✓ nothing lost, nothing double. Same dividend paid in **May** (before Ram bought) → pre-acq 92,000, post-acq 72,000.

Ⓐ Dividends — only the date matters

Situation	Treatment
Paid **before** P bought	Before "P buys" in the passbook → lowers pre-acq. P got nothing.
Paid **after** P bought (any profit)	After "P buys" → lowers post-acq. **Keep** P's dividend income.
Declared, **unpaid** at year end	As above + cancel P's receivable vs P's share of payable. **NCI's share stays** as a liability.
Proposed, approved **after** year end	**Ignore** (Ind AS 10 · 12). Not in the passbook.
Declared but "not accounted" by anyone	State assumption: ignore / declared unpaid / paid. ICAI accepted all three (PYQ May 2024).
Bonus issue by S	No effect — reserves move to share capital inside S (PYQ May 2024).

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⚠ TRAP

ICAI's printed answers write it another way: take the dividend out of **pre-acq** and take P's share out of **P's RE**. Same final figures. **Pick one way — never both.**

Ⓐ Fair value changes — each goes to 3 places

FV change = FV − Book value, both on the acquisition date

Item	Net assets (WN 2)	Post-acq profit (WN 1)	Balance sheet line
PPE worth more	+ increase	− extra dep (months held)	+ increase − extra dep
PPE overvalued	− decrease	+ dep saved	− decrease + dep saved
Land worth more	+ increase	nothing	+ increase
Brand not in S's books	+ value	− amortisation	New intangible
Goodwill in S's own books	− remove	nothing	Not shown
Inventory, still unsold	± change	nothing	± change
Inventory, sold in year	± change	reverse (cost of sales)	nothing
Liability worth more	− increase	nothing till settled	+ to liability
Contingent liability	− FV	reverse if no payment	Liability / nil
Deferred tax (if rate given)	− DTL on FV increases	+ DTL reversal on extra dep	DTL line

ICAI: PYQ Nov 2024 (PPE +300, dep 30; inventory −300 kept) · SM TYK 8 (building 300 ÷ 20 = 15; inventory sold → reversed) · PYQ Sep 2025 (machinery overvalued; S's goodwill removed) · PYQ Jan 2026 (brand ₹8 lakh ÷ 10) · RTP Nov 2023 (contingent liability reversed; DT at 20%) · SM TYK 9 (deferred tax on FV adjustment).

Ⓐ FV given as a total value on a mid-year date

"FV of P&M on 1 Oct was ₹4,00,000; depreciation 10%." Only the 31 Mar book value (₹2,70,000) is given. — SM TYK 5

1. Book value on 1 Oct: opening 2,70,000 + 30,000 = 3,00,000 − 6 months' dep 15,000 = **2,85,000**
2. Increase = 4,00,000 − 2,85,000 = **1,15,000**
3. Extra dep = dep on FV for 6 months (20,000) − dep S charged (15,000) = **5,000**

⚠ TRAP

4,00,000 − 2,70,000 is **wrong**: it compares a 1 Oct value with a 31 Mar value.

Ⓐ Intra-group items — cancel, then ask who bears it

Item	Do	Who bears
Goods **P** → **S** in S's stock	Remove profit from inventory	**P only**
Goods **S** → **P** in P's stock	Remove profit from inventory	S's post-acq (P + NCI)
Machine sold in group	Remove gain; add back extra dep on it	The seller
Receivable / payable	Cancel what both show; cash in transit → add to cash first	Nobody
Bills	Cancel bills still held; **discounted** bills stay (owed to bank)	Nobody
P holds S's debentures / pref. shares	Cancel at face value; excess paid = loss	Group RE; outside pref. → NCI
Goods P → associate	Remove only P%, from the investment	Group RE
Deferred tax on unrealised profit	DTA at buyer's rate, if a rate is given (SM Illus. 16–17)	Same as the profit

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"Cost + 25%" → price × 25/125 · "20% on sales" → price × 20% *SM Illus. 14–15: unrealised profit 15 → upstream split 60:40; downstream all P. Illus. 18: PPE sold 120 (cost 100), 10 years → PPE −18, depreciation −2.*

Ⓐ NCI and group equity

NCI at year end

NCI on acq. date + NCI% × post-acq profit

− NCI% × GW impairment ***(FV method only)***

+ S's pref. shares held by outsiders

Can go ***negative*** *— losses still go to NCI* B94 *(Illus. 19)*

Items P bears alone (WN 5)

Profit on goods/machines ***P sold*** *to S*

GW impairment (all, or P% under FV)

Loss on S's debentures/pref. held by P

Interest on deferred consideration

+ Gain on old stake · + share of associate

ICAI ·

Illus. 20 (four cases, proportionate NCI): *Case 1 — 90% for 1,40,000; net assets 1,50,000 → NCI 15,000;* ***goodwill 5,000****. Case 2 — 85% for 1,04,000; net assets 1,30,000 → NCI 19,500;* ***capital reserve 6,500****. Holding's RE adds 90% × (70,000 − 50,000) = 18,000 in case 1; deducts 85% × 10,000 = 8,500 in case 2 (post-acq loss).*

Ⓐ Special structures

Structure	Rule
Chain *P → S → T*	*P in T = P% × S%; NCI in T = rest. T's goodwill uses S's cost × P%. S's NCI reduced by S's cost of T × S's NCI%. If S bought T after P bought S, split T's reserves at the date S bought T. (SM Illus. 29: 80% × 75% = 60%; capital reserve 105 + 83 = 188; NCI 166.2)*
Indirect goodwill	*S (80% owned) buys T outright → group shows* ***100%*** *of T's goodwill, 20% attributed to NCI (SM Illus. 27).*
Associate *inside the group*	*One line, equity method: cost + P% × post-acq profit − P% × unrealised profit. Cost below P% of net assets → capital reserve. S's associate: group takes S's equity-accounted figure; NCI of S shares it (SM TYK 2: 75; profit 9 to M, 1 to NCI).*
Different year ends	*Max 3 months gap; adjust for big transactions.*

Ⓐ Five checks before you move on

#	Check	Proof on ICAI's PYQ Nov 2024 (₹ Lakh)
1	*Every point used (tick a tracker; scan the balance sheet for "in S", "due from", "dividend", "bills")*	*7 points + debentures found only in the balance sheet*
2	*Balance sheet agrees*	*34,875 = 34,875*
3	***NCI = NCI% × (S's closing equity + FV changes left − upstream profit) + NCI's goodwill***	*20% × (9,000 + 270 − 300) = 1,794 + (1,450 − 1,400) − 20 =* ***1,824*** ✓
4	*Goodwill split: P's = Cost − P% × WN 2*	*(5,800 − 5,600) + (1,450 − 1,400) =* ***250*** ✓
5	*Each cancellation equal on both sides*	*Receivable 160 = payable 120 + cheque 40* ✓

Check 3 passes → your pre/post split, dividend, FV and NCI are ***all right****. (Also proves SM TYK 5: 40% × 10,84,000 = 4,33,600.)*

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→ **Stuck?** Unticked tracker rows = what's left. Unclear fact → **one assumption line**, move on. Doesn't agree after 3 min → finish the rest. **Never force a balancing figure.**

Ⓐ SM TYK 5 – Ram Ltd. (60%) & Krishan Ltd., acquired 1 Oct 20X1

Krishan 31 Mar: share capital 4,00,000 · other reserves 2,00,000 (unchanged) · RE 1,64,000 (60,000 on 1 Apr; 10% dividend paid 1 Nov; Ram credited its share to RE) · P&M 2,70,000 (FV 4,00,000 on 1 Oct; dep 10%) · FV increases on 1 Oct: L&B 2,00,000, inventory 30,000, trade payables 20,000 (both still outstanding) · Ram's cost 8,00,000 · Ram's RE 1,14,400 · NCI proportionate.

WN	Working	₹
1 Passbook	Pre = 60,000 + 72,000 (dividend 1 Nov is after 1 Oct)	1,32,000
	Post = 1,64,000 − 1,32,000 − extra dep 5,000	27,000
2 Net assets	4,00,000 + 2,00,000 + 1,32,000 + FV (2,00,000 + 1,15,000 + 30,000 − 20,000)	10,57,000
3 Goodwill	8,00,000 + NCI 40% × 10,57,000 (4,22,800) − 10,57,000	1,65,800
4 NCI	4,22,800 + 40% × 27,000	4,33,600
5 Group RE	1,14,400 + 60% × 27,000 (Ram's 24,000 kept)	1,30,600
Other equity	Other reserves 6,00,000 + RE 1,30,600	7,30,600

Consolidated balance sheet line	Working	₹
Land & Buildings	3,00,000 + 3,60,000 + 2,00,000	8,60,000
Plant & Machinery	4,80,000 + 2,70,000 + 1,15,000 − 5,000	8,60,000
Goodwill	WN 3	1,65,800
Inventories	2,40,000 + 72,800 + 30,000	3,42,800
Trade receivables · Cash	1,99,600 · 45,000	2,44,600
Total assets		**24,73,200**
Share capital (Ram) · Other equity · NCI	10,00,000 + 7,30,600 + 4,33,600	21,64,200
Trade payables · Bank overdraft	(94,200 + 34,800 + 20,000) + 1,60,000	3,09,000
Total		**24,73,200**

All figures match ICAI's printed answer. ICAI writes WN 5 as 1,14,400 − 24,000 + 60% × 67,000 = 1,30,600 (same result, other route).

Ⓐ Key figures to self-check other ICAI questions

Question	Key figures
PYQ Nov 2024 Q1	Goodwill 250 → 150 · NCI 1,824 · Other equity 16,292 (₹200 lakh = cost) / 16,297 (= sale price) · Total 34,875 / 34,880
SM TYK 4 (DEF/XYZ)	P&M uplift 5,75,000 · extra dep 25,000 · bargain purchase 18,85,000 · RE 7,07,000 · Total 1,15,37,000
SM TYK 8 (Blue Heavens, 75%)	Goodwill 975 → 877 · NCI 1,284 · Other equity 11,228 · Total 18,032 (₹ lakh)
PYQ Jan 2026 Q1	Consideration 32.50 · Goodwill 20 → 15 · NCI 7.56 · RE 11.79 · Total 150.80 (₹ lakh)
PYQ Sep 2025 Q1	Capital reserve 32,62,500 · NCI 1,07,53,125 · Other equity 3,79,96,875 · Total 14,44,50,000
PYQ May 2024 Q1 (alt. A)	Goodwill 70,000 (fully impaired) · Associate 2,05,600 · NCI 2,85,000 · Total 29,90,100
PYQ Nov 2022 Q1 (chain)	Capital reserve 658 · NCI 581.70 · Total 7,833 (₹ lakh)